



HARDIK CHHABRA

"We need to focus on creating high-quality jobs in employment-intensive sectors such as garments, footwear, food processing and tourism"

— NAUSHAD FORBES

Co-chairman, Forbes Marshall

"India's challenge is not unemployment, which is said to be a low 4.9 per cent, but employed poverty—the poor cannot afford to be unemployed"

— MANISH SABHARWAL

Vice-chairman, Teamlease

the details of which are awaited, banks will either offer government-guaranteed loans to MSMEs or the government will directly create a fund from which banks can draw to fund MSMEs. Meanwhile, the limit of Mudra loans (for small-time entrepreneurs) has been enhanced from the current Rs 10 lakh to Rs 20 lakh for entrepreneurs who have a clean repayment record. Budding entrepreneurs will thus find more funds to give wings to their dreams, aiding job creation. The Centre has also abolished the angel tax for all classes of investors, a long-standing demand of the start-up sector. There are other schemes and incentives in the budget to keep economic growth moving at a high pace.

However, even while making these provisions, policymakers remained aware that economic growth in the age of Artificial Intelligence may not result in proportionate and adequate job creation. Hence, the need to enhance the employment intensity of economic growth. The thrust then became to incentivise employers to hire labour rather than opt for costlier automated solutions. Officials reveal that the prime minister was categorical that industry had to be deeply involved in skill training and not over-rely on "*sarkari*" institutions. At the same time, however, he was emphatic that the private sector should be "brought in willingly and voluntarily". "One thing was clear," says economic affairs secretary Ajay Seth. "If skill training must work, it has to be with the active involvement of the states and industry. The issue was how we can make our growth story more inclusive and bring the economy to a place where jobs were not just being created but were also better-paying."

Another constraint was the labour laws and state industrial regulations that need to be streamlined and for